AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII EXAMINATION

APRIL/ MAY 2018

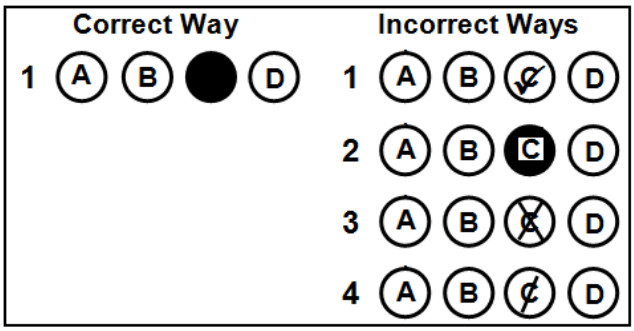
Banking Paper I

Time: 35 minutes Marks: 25

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.

1. The department of a bank that is involved in the maintenance and assessment of bank's internal control, risk management and governance areas is known as

   A. legal department.
   B. audit department.
   C. security department.
   D. public relations department.

2. According to historic evidence, around 3,900 B.C., people adopted a banking service utilizing cows as units of exchange. Deposited cows were assigned a value and exchanged for goods of equal value.

   This type of banking service was found in the

   A. Latin civilisation.
   B. Greek civilisation.
   C. Egyptian civilisation.
   D. Babylonian civilisation.

3. Alpha Bank is a private commercial bank. The business objective for establishing the Alpha Bank will be to

   A. help poor.
   B. earn profit.
   C. issue currency notes.
   D. support government.

4. A customer deposits Rs 2,000 in his saving account. If the bank maintains 10% cash reserve ratio, then the total credit creation will be

   A. Rs 200
   B. Rs 1,800
   C. Rs 18,000
   D. Rs 20,000

5. A bank account that does not give interest on amount held in the account, yet certain service charges are deducted from such accounts.

   The given description is of

   A. saving account.
   B. current account.
   C. fixed deposit account.
   D. young savers account.

6. Mr Aleem just received information that his bank account has been closed and now he cannot have further transactions from the bank.

   Which of the following will NOT be a reason for the above action of the bank?

   A. The bank is complying with a court order.
   B. The bank is closing their business operations.
   C. Mr Aleem has found to be involved in fraudulent activities.
   D. Mr Aleem has breached the terms and conditions of the bank.

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7. Which of the following is NOT considered as an objective of monetary policy?

   A. Controlling money supply
   B. Controlling the rise in population
   C. Bringing stability in exchange rates
   D. Maintaining equilibrium in balance of payments

8. Mr Sumair has lost a cheque. He approached the bank on the same day for stopping the payment. However, the bank informed him that the payment has been made.

   In the given scenario, the payment was released by the bank because the type of cheque issued by Mr Sumair was

   A. bearer cheque.
   B. crossed cheque.
   C. ordered cheque.
   D. non-negotiable cheque.

9. A drawer can convert a crossed cheque into a bearer cheque provided that the payee does not have a bank account. This conversion could be done by the drawer by

   A. informing the payee bank.
   B. issuing a note attached to the cheque issued.
   C. informing cancellation to the cheque issuing party.
   D. writing 'crossing terminated' alongside his or her authentic signature.

10. Areeba encashed bill of exchange, before the date of its maturity (due date), from her bank. This encashment is called

    A. retirement of bill.
    B. discounting of bill.
    C. endorsement of bill.
    D. dishonouring of bill.

11. Which of the given difference is CORRECT for cheque and a promissory note?

	Cheque	Promissory Note
A	It cannot be crossed.	It can be crossed.
B	It is drawn on bank.	It is drawn on a creditor.
C	It is an unconditional promise in writing.	It is an unconditional order in writing.
D	Three grace days are allowed for payment of cheque.	No grace day is allowed for payment of promissory note.

12. Which parties are involved in a promissory note?

    A. Drawer and payee
    B. Drawer, bank and payee
    C. Drawer, drawee, holder and acceptor
    D. Drawer, drawee, holder, endorser and acceptor

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13. A memorandum of debt given by the borrower, requiring no stamps, but a holograph, usually dated and addressed to the lender.

The given description presents a non-negotiable instrument known as

A. postal order.
B. money order.
C. promissory note.
D. I owe you (I.O.U).

14. A pin-based card issued to use cash withdrawal from the bank account and only on those purchase outlets which are using the same electronic network that is listed on the backside via entering the PIN code.

The given description indicates

A. ATM card.
B. credit card.
C. membership card.
D. customer loyalty card.

15. Zeeshan Traders is importing wrist watches from China, for that it requires a letter of credit (L/C).

Along with substantial bank balance, the documents required for the given letter would be

	Documents		
A	Contract between importer and exporter	Performa invoice or purchase order	Guarantor confirmation
B	Guarantor confirmation	Insurance policy with premium paid receipt	Performa invoice or purchase order
C	Contract between importer and exporter	Guarantor Confirmation	Insurance policy with premium paid receipt
D	Contract between importer and exporter	Performa invoice or purchase order	Insurance policy with premium paid receipt

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16. The letter of credit (L/C) cannot be cancelled or modified without the consent of the beneficiary (seller). The L/C reflects absolute liability of the issuing bank to the other party.

The above letter of credit is classified as

A. revocable L/C.
B. confirmed L/C.
C. irrevocable L/C.
D. transferrable L/C.

17. ABC Bank issued car loan to Ms Afifa with a five-year installment plan. If she defaults during this period, then the bank has the right to take back the custody of the car and auction it.

The collateral security used in the given scenario is

A. pledge.
B. mortgage.
C. trusteeship.
D. hypothecation.

18. The loans issued by commercial bank for the period of 1 to 5 years are called

A. demand loans.
B. long term loans.
C. short term loans.
D. medium term loans.

19. A bank that is not registered under the State Bank of Pakistan (SBP) Act 1956 and is free from reserve restriction of State Bank of Pakistan (SBP) and is not allowed to avail credit facilities from the State Bank of Pakistan (SBP).

The above mentioned type of bank is known as a/ an

A. national bank.
B. scheduled bank.
C. international bank.
D. non-scheduled bank.

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20. The given data has been extracted from an economy.

S. No.	Particulars	Amount ($)
1	Remittance received	87 million
2	Payment to foreign consultancy	27 million
3	Receipts from allotment of births to an MNC	35 million
4	Payments for equipment purchase to build infrastructure	67 million
5	Foreign aid received for social upliftment projects	55 million

In the given table, the component (account head) of balance of trade (BoT) is

A. remittance received.
B. payment to foreign consultancy.
C. foreign aid received for social upliftment projects.
D. payments for equipment purchase to build infrastructure.

21. Country Y adopted a policy of fixing the exchange value of the currency higher than the market price to control the international economic recession. Such fixing of foreign currency is classified as

A. block account.
B. exchange pegging.
C. exchange rationing.
D. standstill agreement.

22. The MOST important participant in foreign exchange market is

A. central bank.
B. retail customer.
C. commercial bank.
D. foreign exchange broker.

23. Industrial Development Bank of Pakistan was established in

A. 1957.
B. 1961.
C. 1968.
D. 1973.

24. The MAIN purpose of credit card is to

A. encourage saving.
B. win prizes from bank.
C. help in foreign travelling.
D. facilitate buying and selling of goods.

25 The biggest demerit of e-banking is

A. security concern.
B. lack of knowledge.
C. more financial cost.
D. loss of human touch.

END OF PAPER

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